

who runs houses or apartments, well, my cash flow goes up. But more importantly a great property manager allows me to buy a lot more real estate since I don't have to fix toilets. A great property manager is key to success in real estate. Finding a good manager is more important to me than the real estate. A great property manager often hears of great deals before real estate agents do, which makes them even more valuable.

That is what rich dad meant by “ 'I don't want' hold the key to your success.” Because I do not want to fix toilets either, I figured out how to buy more real estate and expedite my getting out of the rat race. The people who continue to say “I don't want to fix toilets” often deny themselves the use of this powerful investment vehicle. Toilets are more important than their freedom.

In the stock market, I often hear people say, “I don't want to lose money.” Well, what makes them think I or anyone else likes losing money? They don't make money because they chose to not lose money. Instead of analyzing, they close their minds to another powerful investment vehicle, the stock market.

In December 1996, I was riding with a friend past our neighborhood gas station. He looked up and saw that the price of oil was going up. My friend is a worry wart or a “Chicken Little.” To him, the sky is always going to fall, and it usually does, on him.

When we got home, he showed me all the stats as to why the price of oil was going to go up over the next few years. Statistics I had never seen before, even though I already owned a substantial share block of an existing oil company. With that information, I immediately began looking for and found a new undervalued oil company that was about to find some oil deposits. My broker was excited about this new company, and I bought 15,000 shares for 65 cents per share.

In February 1997, this same friend and I drove by the same gas station, and sure enough, the price per gallon had gone up nearly 15 percent. Again, the “Chicken Little” worried and complained. I smiled because in January 1997, that little oil company hit oil and those 15,000 shares went up to more than \$3 per share since he had first given me the tip. And the price of gas will continue to go up if what my friend says is true.

Instead of analyzing, their little chicken closes their mind. If most people understood how a “stop” worked in stock-market investing, there would be more people -investing to win instead of investing not to lose. A “stop” is simply a computer command that sells your stock automatically if the price begins to drop, helping to minimize your losses and maximize some gains. It's a great tool for those who are terrified of losing.